

COMMERCIAL REVOLVING CREDIT AGREEMENT

Borrower: Meridian Logistics LLC | Lender: Apex Commercial Bank

Facility Limit: \$5,000,000 USD | Agreement Date: March 15, 2024

ARTICLE I: DEFINITIONS & FACILITY TERMS

1.01 Credit Facility: A revolving line of credit up to an aggregate principal amount of \$5,000,000.00 (the "Commitment").

1.02 Maturity Date: March 15, 2027 (36 months from execution date).

1.03 Applicable Interest Rate:

(a) Base Rate Option: Daily SOFR (Secured Overnight Financing Rate) plus an Applicable Margin of 2.75% per annum.

(b) Fixed Rate Tranche Option: 3-Year Fixed Treasury Benchmark plus 3.10% per annum, upon 5 days prior written notice.

(c) Default Interest Rate: Upon an Event of Default, the interest rate increases automatically by 300 basis points (3.00% per annum).

1.04 Unused Commitment Fee:

A fee equal to 0.35% per annum on the average daily unborrowed portion of the Facility, payable quarterly in arrears on the last day of each quarter.

ARTICLE II: FINANCIAL COVENANTS & REPORTING REQUIREMENTS

2.01 Debt Service Coverage Ratio (DSCR):

Borrower shall maintain a consolidated Debt Service Coverage Ratio of not less than 1.25:1.00, measured at the end of each

2.02 Maximum Leverage Ratio:

Consolidated Total Debt to Adjusted EBITDA shall not exceed 3.50:1.00 at any fiscal quarter end.

2.03 Minimum Tangible Net Worth:

Borrower shall maintain a Tangible Net Worth of not less than \$8,500,000.00, increasing by 50% of positive consolidated net

2.04 Required Financial Deliverables:

- (a) Quarterly Financial Statements: Certified by Chief Financial Officer within 45 days after the close of each of the first three
- (b) Annual Audited Statements: Prepared in accordance with GAAP by an independent CPA firm within 120 days after fiscal
- (c) Compliance Certificate: Submitted concurrently with all quarterly and annual financial statements.

ARTICLE III: PREPAYMENT, SECURITY & REMEDIES

3.01 Optional Prepayment & Penalties:

Borrower may prepay SOFR-based advances at any time without penalty or premium upon 2 business days written notice.

3.02 Collateral & Security Interest:

The Facility is secured by a first-priority blanket security interest on all Accounts Receivable, Inventory, Equipment, General

3.03 Events of Default:

Each of the following constitutes an Event of Default:

- (a) Failure to make any principal or interest payment within 5 calendar days of the due date.
- (b) Breach of any financial covenant set forth in Section 2.01 through 2.03 that remains uncured for 15 days following written
- (c) Any material adverse change (MAC) in the financial condition or operational viability of the Borrower.
- (d) Involuntary bankruptcy or insolvency proceedings filed against Borrower not dismissed within 60 days.